Illustration 13

Jenifer Ltd. issued 10,000 equity shares of ₹ 10 each at par payable on application ₹ 3 per share, on allotment ₹ 3 per share, on first call ₹ 2 per share and on second and final call ₹ 2 per share. The issue was fully subscribed and all the amounts were duly received with the exception of 100 shares held by Subbu, who failed to pay the second and final call. His shares were forfeited and reissued to Hema at ₹ 7 per share. Journalise the above transactions.

Solution

In the books of Aruna Mills Ltd.
Journal entries

Date	Particulars		L.F.	Debit ₹	Credit ₹
	Bank A/c (10,000 × 3)	Dr.		30,000	
	To Equity share application A/c				30,000
	(Application money received)				
	Equity share application A/c	Dr.		30,000	
	To Equity share capital A/c				30,000
	(Application money transferred to share capital A/c)				
	Equity share allotment A/c (10,000 × 3)	Dr.		30,000	
	To Equity share capital A/c				30,000
	(Allotment money due)				
	Bank A/c (10,000 × 3)	Dr.		30,000	
	To Equity share allotment A/c				30,000
	(Allotment money received)				
	Equity share first call A/c (10,000 × 2)	Dr.		20,000	
	To Equity share capital A/c				20,000
	(First call money due)				
	Bank A/c (10,000 × 2)	Dr.		20,000	
	To Equity share first call A/c				20,000
	(First call money received)				
	Equity share second and final call A/c (10,000 × 2)	Dr.		20,000	
	To Equity share capital A/c				20,000
	(Second and final call money due)				
	Bank A/c (9,900 × 2)	Dr.		19,800	
	To Equity share second and final call A/c				19,800
	(Second and final call money received)				

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